Debt Service Coverage Ratio

Underwriting Methods **Release Date: 4/17/2026**

All Spring EQ originated or purchased loans are manually underwritten. Regardless of the underwriting method, additional information may be requested at the discretion of the Underwriter.

- Borrowers or Guarantors are not required to disclose employment information on the application (Form 1003) and employment is not required to be verified.
- Personal income derived from regular employment, retirement or other investments should not be disclosed on the application and any related documentation including business and personal tax returns and transcripts are not required.
- The application should otherwise be fully completed including the Schedule of Real Estate Owned listing the Borrowers or Guarantors' primary residence and the subject property.

Debt Service Coverage Ratio Restrictions

Refer to Eligibility Matrix for CLTV limitations when DSCR is 0.75x to 0.99x

- The minimum DSCR is 0.75x
- Minimum DSCR for loan amounts greater than $1,500,000 is 1.00x

Spring EQ Exclusionary List: LDP & SAM Lists

Spring EQ prohibits Mortgage Loans where any company or individuals who are material parties to the transaction are listed on HUD's Limited Denial of Participation (LDP) list, or the System for Award Management Excluded Party (SAM) list. Regardless of the reason for inclusion on the list, any Mortgage Loan is ineligible when a material party to the transaction is included on either list.

Eligibility Matrix

FICO	DSCR >/=1.00x			DSCR 0.75x to 0.99x		
	Max Loan Amount	Rate/Term & Purchase	Cash Out	Max Loan Amount	Rate/Term & Purchase	Cash Out
740+	$2,500,000	80%	75%	$1,500,000	70%	60%
700-739	$1,500,000	80%	70%	$1,500,000	70%	60%
680-699	$1,500,000	75%	65%			
660-679	$1,500,000	70%	60%			

Product Terms

- Fixed Rate 30 years fully amortizing

Loan Amounts

- Minimum $100,000
- Maximum: Refer to Eligibility Matrix

Cash Out

- Maximum cash out permitted: $500,000
- Any refinance in which the borrower receives cash back in excess of the greater of 1% of the new loan amount or $2,000 is considered a cash-out refinance.

DSCR Eligibility Criteria

Transaction must be used for commercial/business purposes

- Borrower must execute the Spring EQ Business Purpose and Occupancy Affidavit attesting to the loan is intended for business purposes and not for consumer or family use.
- All transaction cash-out proceeds must be used for business purposes.
- No limit to the number of owned/financed properties.
- Layered entities are not permitted.
- First-time homebuyers are not permitted.
  - Definition of a first-time homebuyer is an individual who has not had a mortgage or ownership interest (sole or joint) in a residential property in the past 3 years prior to the application date.
- High-Cost loans are not permitted.
- Non-Permanent Residents are not permitted (borrowers or guarantors).
- Non-Arm's length transactions are not permitted.
- Investment properties only.

Prepayment Penalty

Prepayment penalties are permitted as outlined below unless otherwise restricted by the state:

- No Prepayment Penalty Option.
- 1-year PPP: 3%
  - If a full or partial prepayment is made within TWELVE (12) months of the date of the Note, and the total of all such prepayments within the (12) month period exceeds TWENTY percent (20.000%) of the original principal amount of the note, a prepayment fee will be charged.
- 3-year PPP: 3%/2%/1%
  - If a full or partial prepayment is made within THIRTY-SIX (36) months of the date of the Note, and the total of all such prepayments in any twelve (12) month period exceeds TWENTY percent (20.000%) of the original principal amount of the note, a prepayment fee will be charged. The rate steps down one percent each year, from 3.00% in the first year to 1.00% in the third year.
- 5-year PPP: 5%/4%/3%/2%/1%
  - If a full or partial prepayment is made within SIXTY (60) months of the date of the Note, and the total of all such prepayments in any twelve (12) month period exceeds TWENTY percent (20.000%) of the original principal amount of the note, a prepayment fee will be charged. The rate steps down one percent each year, from 5.00% in the first year to 1.00% in the fifth year.
- All prepayment penalties are based on the curtailment amount.
- The prepayment penalty will not be applied if such a charge violates state or federal law.
- Prepayment penalties are prohibited in the following states: Alaska, Minnesota, New Jersey, New Mexico, North Carolina, Kansas, Michigan, Pennsylvania, Ohio and Rhode Island.
  - For these states, loans must be locked and disclosed with “No Prepayment Penalty” selected.

Ineligible States

- Hawaii
- New York

Age of Documents

Expiration dates are determined by comparing the date of the document to the note date on the mortgage loan:

- Credit – 90 Calendar Days
- Title – 90 Calendar Days
- Appraisal – 120 Calendar Days
- Assets – 60 Calendar Days

Documentation Requirements

- Full interior appraisal (Form 1004, 1025, or 1073) with comparable rent schedule completed by a licensed appraiser.
- For purchase transactions, the fully executed contract of sale and the proof & source of the down payment are required.
- All Appraisal products must be ordered by Spring EQ.
- Transferred Appraisals are not permitted.

DSCR Calculation

Borrowers financing non-owner-occupied investment properties can qualify based on their ability to service the debt over the life of the loan. For Debt Service Coverage, property income is used to qualify the transaction. Debt Service Coverage is available to Experienced Investors and First Time Investors for either purchasing or refinancing investment properties for business purposes.

The DSCR is calculated by taking the Annual Gross Rental Income for the subject property divided by the annual PITIA or ITIA for the subject property.

- Long Term Rental Income:
  - Rental income to be used will be based on the comparable rent schedule
  - If two appraisals are performed, the lower of the two property values and market rents will be used to qualify.
- Vacant properties as indicated by the appraisal report are able to use the appraisal form 1007 alone for rents and a copy of the lease will not be required.
- Refinance of Multi-unit properties 1 vacant unit is allowed on a 2-3 unit property and 2 vacancies on 4 units
- Properties leased to family members are ineligible and cannot be considered as business purpose transactions

Social Security Number Validation

All borrowers must have a valid Social Security Number (SSN). Individual Taxpayer Identification (ITIN) is not permitted. Any SSN issues (including number not issued, age obtained, or year issued alerts, number associated with deceased individuals, date of birth variation, etc.) identified by the credit report, fraud report or other documentation will have to be researched further at the discretion of the underwriter.

Eligible Borrowers or Guarantors

U.S. Citizen:

- The Borrower must be a citizen of the United States or of a U.S. Possession or Territory.

Permanent Resident:

- A permanent resident is a non-U.S. citizen who is legally eligible to maintain permanent residency in the U.S. and holds a Permanent Resident card (form I-551). Document legal residency with one of the following:
  - A valid and current Permanent Resident card (form I-551); OR passport stamped with I-551 processing.

Business Entities

- Lending to business entities is permitted subject to the following documentation and requirements:
  - Documentation:
    - Personal Guarantee is only required if lending to a business. When lending to an individual, who is only vesting in a business, there is no personal guarantee needed.
    - Loan Application
      - Income/Employment section should not be completed.

        - Completed for each member of the Entity providing a guaranty. **Must be signed by the individual.**
        - "Title will be held in what Name(s)" should be completed with only the entity name.
    - Articles of Organization - Used to determine the state of organization, the exact LLC name, and identify managing members. ARTICLES OF ORGANIZATION / ARTICLES OF INCORPORATION/CERTIFICATE OF FORMATION **Filed, copied, stamped and dated**.
    - **NOTE**: Combine SOS Search Results and Cert of Good Standing "Should read as follows CERTIFICATE OF GOOD STANDING OR SOS SEARCH RESULTS" Must be active or in good standing and dated within 30 days of closing. https://www.e-secretaryofstate.com/
    - Operating Agreement - Confirms that the manager or managing members have the authority to sign the loan documents and/or agreements.
    - Executed W-9 and/or EIN.
    - Evidence of signing authority for the Guarantor(s) signing.
  - Requirements:
    - Guarantors must represent a minimum of 50% ownership (Ex if an LLC has 4 members with 25% ownership, at least two must be guarantors on the proposed transaction).
    - Max 4 members from an LLC are permitted as guarantors.
    - SOS Search results - Search state identified in the Articles of Organization to confirm the LLC is in good standing and to identify managing members and ensure they align with the borrowers/guarantors.
    - Operating Agreement - Confirms that the manager or managing members have the authority to sign the loan documents and/or agreements.
    - Certificate of good standing - Confirms standing within 30 days of closing.
    - Executed W-9 and/or EIN.
    - Evidence of signing authority for the Guarantor(s) signing.
    - Personal Guarantors must meet the credit requirements the same as if they were non-entity borrowers.

Ineligible Borrowers or Guarantors

- Trusts (Irrevocable, Land and Blind Trusts) or business entities whose members include other LLCs, Corporations, Partnerships, or Trusts.
- Guardianships.
- Non-Arm's length Transactions.
- Persons or entities party to a lawsuit.
- Persons with an ITIN.

Ownership

Eligible Ownership Interests:

- Fee Simple.

Ineligible Ownership Interests:

- Life Estates.
- Leasehold Estate.

Eligible Title Vesting and Ownership

Acceptable forms of vesting are:

- Individuals.
- Joint Tenants.
- Tenants in Common.
- Inter-Vivos Revocable Trust, Living Family Trust and Revocable Family Trust.
- Limited Liability Company (LLC).
- Limited and General Partnerships.
- Corporations.

Vesting in a business entity for a Business Purpose Loan is permitted on an INVESTMENT property only with the following requirements:

- Entity must be domiciled in a U.S. state.
- Business structure is limited to a maximum of four (4) owners/ members.
- Personal Guarantee is required if lending to a business entity. A credit report must be run on the individual(s) providing the personal guarantee as opposed to the business entity. When lending to an individual, where the subject property is vested in a business entity, there is no personal guarantee required.
- Each Entity member on the loan must sign the security instruments.
- A minimum of 50% of the vesting business entity ownership must be represented as borrowers or guarantors on the loan.

The following documentation must be provided for each business type:

- Limited Liability Company (LLC):
  - Entity Articles of Organization, Partnership, and Operating Agreements as required.
  - Tax Identification Number (Employer Identification Number – EIN).
  - Certificate of Good Standing.
  - Certificate of Authorization for the person executing all documents on behalf of the entity.
  - LLC Borrowing Certificate required when all owners/members are not on the loan.
- Limited and General Partnerships:
  - Filed Partnership Certificate (if a general partnership, filing with the SOS may not be required).
  - Partnership Agreement (and all Amendments).
  - Certificate of Good Standing (issued by the Secretary of State (SOS) where the Partnership is registered).
  - Tax Identification Number (EIN).
  - Limited partner consents (where required by partnership agreement).
- Corporations:
  - Filed Certificate/Articles of Incorporation (including all Amendments).
  - By-Laws (including all Amendments).
  - Certificate of Good Standing (issued by the Secretary of State (SOS) where the business is incorporated).
  - Tax Identification Number (EIN).
  - Borrowing Resolution/Corporate Resolution granting authority of signor to enter loan obligation.

Properties Titled in a Trust

When using a fully executed trust agreement, it must clearly identify all of the following:

- The trust was established by a natural person(s) during the lifetime of the individual establishing the trust, to be effective during the natural person's lifetime.
- The primary Beneficiary(ies) of the trust must be the individual(s) who established the trust***. The individual establishing the trust is often referred to as either Grantor(s) or Settlor(s).
- Income or assets of at least one of the individuals(s) establishing the trust are used to qualify for the mortgage loan (For loans with multiple trusts, income, or assets from at least one individual from at least one trust must be used).
- The trust appoints trustees to hold legal title to and manage the property that has been placed in the trust.
- The Trustee(s) must include either of: (A) at least one of the individual(s) who established the trust (most common)***; OR (B) an institutional trustee that customarily performs trust functions and is authorized to act as trustee under the laws of the relevant state (not as common).
- The powers of the Trustee(s) must expressly include the powers to borrower money and to pledge/mortgage/encumber trust property as security.

  NOTE: A trust agreement's reference to trustee powers granted by state law or regulation is permitted. The trustee agreement must include a clear reference to the statute or regulation in question, and the statute or regulation must be reviewed to confirm that the required powers are expressly granted to trustees.
- The individual(s) who established the trust must have the right to revoke or alter the trust at any time and for any reason during his or her lifetime. This is known as an "inter vivos revocable trust".
- The trust agreement must be fully executed (signature page is required).
- Any title insurance commitment must not list any exceptions arising from trust ownership of the property.

*** If a Grantor/Trustee is deceased or otherwise unable to serve as trustee as provided by the terms of the trust, and a Successor Trustee has been appointed in accordance with the terms of the trust, the Successor Trustee is permitted to be a borrower on the loan so long as the Successor Trustee is also the beneficiary. Evidence that the original Grantor/Trustee is no longer servicing as trustee, such as a death certificate, must be obtained.

When using a fully executed certification of trust, all of the following applies:

- Must identify:
  - Name of Trust.
  - Date of Creation.
  - Governing Law (can also be known as state specific code).
  - Identities of persons creating the trust and servicing as trustee(s).
  - Powers of trustees to borrower money and to pledge/mortgage/encumber the trust property as security.
  - If there are multiple trustees, how many trustees are required to exercise the trustee powers.
  - Revocable nature of the trust.
- All Trustees must execute certification; the certification signature page required.
- Attorney-prepared trust certifications are permitted.

NOTE: Neither a Non-Borrowing Title-Holder nor a Non-Borrowing Spouse is considered a Borrower, but each may be entitled to certain disclosures and required to sign certain closing documents. A Non-Borrowing Title Holder is a non- borrower who holds title to the property. A Non-Borrowing Spouse is the Borrower's spouse and may or may not be on title. Non-Borrowing Title Holders and Non-Borrowing Spouses are not required to sign the promissory note or home equity line of credit agreement and disclosure statement; however, each is required to sign the security instrument and other truth in lending disclosures. Exceptions may apply with regard to non-borrowing spouses who are not on title, as permitted under state law and authorized by the Compliance Department.

Transaction Types

Eligible Transaction Types:

- Purchase Money transactions
- Rate/Term Refinance transactions
- Cash-Out transactions

Ineligible Transaction Types:

- Non-arm's length transactions.
- Land Contracts.
- Lease with option to purchase.
- Assumable.
- Construction to Permanent.
- Builder Bailout.
- Conversion Loans.
- Assignments of the contract to another buyer.
- No Graduated Payment Mortgage Loan Periodic Payment - Loans must have periodic payments due and loans can't have more than 3 monthly.
- Payments paid in advance from the proceeds of the mortgage loan.

Subordinate Financing:

- Not permitted except for Solar related liens.
- For PACE lending programs, refer to the Fannie Mae selling guide.

Senior Lien Terms:

- Balloon mortgages may be eligible for refinance under DSCR programs provided the loan is in an active repayment period and has a minimum of twelve (12) months of documented, timely payment history.

Power of Attorney:

- A Power of Attorney is allowed under the following terms:
  - US Citizen or Permanent Residents.
  - Not allowed if vesting into LLC, General Partnership or Corporation.
  - Power of Attorney must be transaction specific and has subject property address.

- Purchase or Rate/Term Refinance transactions.
- Not eligible for cash-out transactions.
- Must be recorded with the Mortgage/Deed of Trust.
- Must contain an expiration date.
- May be used to execute the final loan documents only.
- Borrower who executed the POA signed the initial FNMA Form 1003.
- An interested party to the transaction (such as seller, broker, loan officer, realtor, etc.) may not act as Power of Attorney.
- Escrow Holdbacks: Not Permitted.

Credit Report Requirements

The credit report used to evaluate a Mortgage Loan may not have Frozen Credit. If a Borrower unfreezes his or her credit after the date that the original credit report was ordered, a new credit report must be obtained to reflect current updated information from all applicable repositories. Non-traditional credit is not acceptable as a replacement for frozen credit.

All credit reports must include FACT Act messages and at least one repository fraud alert product (Hawk Alert, FACS+ or SafeScan).

When the credit report shows a victim statement under the FACT Act, the Originator must document in writing the steps taken to validate the Mortgage Loan Application is not the result of identity theft. The actions must be reasonable and compliant with applicable laws.

Credit report alerts must be reasonably resolved with supporting documentation included in the Mortgage Loan File. Although due diligence is required, it does not release the Originator from its representations and warranties regarding misrepresentation.

Non-Traditional Credit Report:

- Non-traditional credit reports are not acceptable.

Foreign Credit:

- A Credit Score is required and therefore foreign credit is not acceptable.

Selection and Validation of Credit Score

Agencies providing credit scores are limited to Experian, Equifax, and Transunion. At least 2 scores must be provided for all borrowers and guarantors.

Loan Qualification Score

The qualification score used to determine eligibility will be based on the middle of 3 scores should be used or lower of 2 scores in cases where only two are provided. When there are multiple borrowers/guarantors, the lowest qualification score will be used.

Tradeline Requirements

All Mortgage Loans require a Credit Score based on a minimum credit history and tradeline requirements. The credit report must show ONE of the following:

- Minimum of three tradelines regardless of timeline with at least one of the trading lines being open with a date of the last activity within 6 months from the current date and reporting for at least the past 12 months.
- Authorized user accounts may not be used to satisfy the tradeline requirements.
- Active trading lines are defined by the date of the last activity on the account within 6 months from the current date.

Inquiries and Undisclosed Liabilities

Written explanation for credit inquiries is not required for DSCR.

Payment History

Review the credit report to determine the status of each credit account, including mortgages, the timeliness of payments, and the frequency, recency, and severity of any delinquent payments.

Housing Payment History (All Real Estate Owned)

- No late payments of any kind in the last 12 months on any mortgage or HELOC tradeline on the credit report.
- The most recent mortgage statement provided for the borrower's primary residence cannot show any past due payments.
- The most recent mortgage statement provided for the subject property cannot show any past due payments.

Significant Derogatory Credit

Bankruptcy/Foreclosure/Short Sale/Deed in Lieu/Modification Seasoning: 4 years and credit must be re-established.

Major Adverse Credit

Collections and non-mortgage charge-off accounts equal to or greater than $250 and accounts that total more than $1,000 must be paid in full prior to closing.

All State, IRS, and property tax liens for the Mortgaged Property and other properties), regardless of seasoning, are required to be paid in full whether or not they currently affect title. No payment plans, or subordination is allowed.

Cash to Close

For non-Cash-out Mortgage Loans and purchases, asset documentation is required to evidence that the Borrower has sufficient funds to Close the transaction, with a statement within 60 days of closing date.

Seller Concession

- All Interested Party Contributions must be properly disclosed in the sales contract, appraisal, loan estimate and closing disclosure and be compliant with applicable federal, state, and local law.
- Interested party contributions include funds contributed by the property seller, builder, real estate agent/broker, mortgage lender, or their affiliates, or any other party with an interest in the real estate transaction.
- A borrower participating in the transaction (i.e., borrower acting as their own agent) may contribute funds (i.e., commission) up to the maximum contribution limits referenced above.
- Interested party contributions may only be used for closing costs and prepaid expenses (Financing Concessions) and may never be applied to any portion of the down payment or contributed to the borrower's financial reserve requirements.
- Max 6% contribution calculated based on the lesser of the sales price or appraised value.

Property/Valuation Requirements

A second full appraisal is required when loan amount is greater than $1,000,000.

Value Seasoning

If the subject property is purchased within the last 6 months, the lesser of the current appraised value or the most recent purchase price + documented improvements should be used as the origination value.

Properties Listed for Sale

Evidence is required that the property was removed from the market prior to application.

Property Eligibility

Eligible Properties:

- Single family homes (Detached and Attached).
- 2-4 family homes
- PUDs
- Condo units in Warrantable condo projects.

Ineligible Properties:

- Properties with greater than 4 Units.
- Properties with gross living area less than 600 square feet.
- Manufactured homes.
  - This includes on-frame modular homes built on a permanent chassis.
  - Ineligible even if titled as real property (permanently affixed).
  - Manufactured homes are eligible as Accessory Units if they meet the requirements in the Fannie Mae Selling Guide (Section 5601.2) and are not given any value by the appraiser.
- Mobile Homes.
- Cooperatives.
- Condotels/Hotel Condominiums.
- Condo's requiring full legal review (Non-warrantable Condo projects).
- Timeshares.
- Working Farms and Ranches.
- Unimproved Land.
- Property currently in litigation.
- Land Trust.
- Condition Rating of C5/C6 or a Quality Rating of Q6.
- Land Contracts.
- Leaseholds.
- Rural properties.
- Greater than 5 Acres.
- Mixed use properties.
- Homes used for commercial purposes (examples: assisted living, daycare).
- Properties located on federal and state Indian reservations.
- Log Homes.
- Houseboats.
- Geodesic Domes.
- Commercial properties.
- Properties under construction.
- Properties are not readily accessible by roads that meet local standards.
- Properties not suitable for year-round occupancy, regardless of location.
- Properties with nonresidential, income-producing structures on premise (e.g., billboards, cell phone towers, commercial workshop).

Flip Transactions:

- When the subject property is being resold within 180 days of its acquisition by the seller and the sales price has increased more than 10%, the transaction is considered a "flip". To determine the 180-day period, the acquisition date (the day the seller became the legal owner of the property) and the purchase date (the day both parties executed the purchase agreement) are required to be used.
  - Flip transactions require a second full appraisal in the following circumstances:
    - Greater than 10% increase in sales price if seller acquired the property in the past 90 days.
    - Greater than 20% increase in sales price if seller acquired the property in the past 91- 180 days.

FEMA Disaster Area

If the subject property is located in a FEMA declared major disaster area (published by FEMA) where individual assistance was granted, one of the following is required:

- Collateral valuation (completed by a Spring EQ vendor) after the disaster incident period end date OR
- Post disaster inspection confirming the property was not adversely affected by the disaster.

Condominium Projects

UW Attestation and/or documentation clearly stating whether the project review completed resulted in condo being determined as warrantable or non-warrantable must be delivered with the file.

If an approved Fannie Mae's Condo Project Manager (CPM) report is provided, a lender HOA questionnaire is not required.

FNMA eligible warrantable projects are permitted. Site Condos meeting the FNMA definition are eligible for single-family dwelling LTV/CLTV. Condominium Insurance Requirements: refer to Fannie Mae Selling Guide.

Homeowners Insurance/Flood Insurance

Refer to the Fannie Mae selling guide.

In addition to Fannie Mae requirements, rent loss insurance for the subject property is required to be greater than or equal to 6 months of local average monthly rents.

Title Review and Insurance Requirements

Refer to the Fannie Mae selling guide.

Mortgagee Clause

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